



CO-OPERATIVE BANK OF KENYA LTD

GROUP FINANCIAL RESULTS ANALYST BRIEFING

Q1 2017

19th May 2017

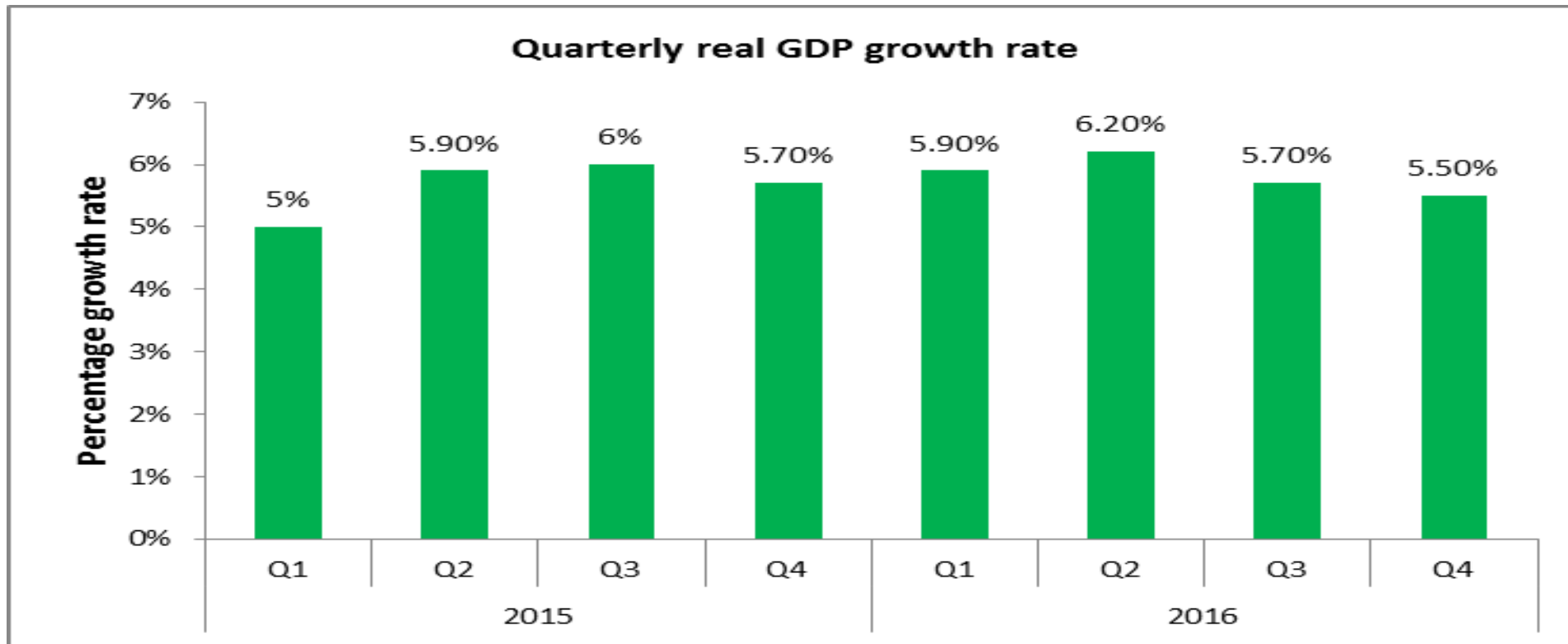


The background of the slide features a world map with a light green color scheme. Overlaid on the map is a dark green horizontal band containing a white candlestick chart. The chart consists of numerous vertical bars, some with small horizontal lines at the top and bottom, representing price movements over time.

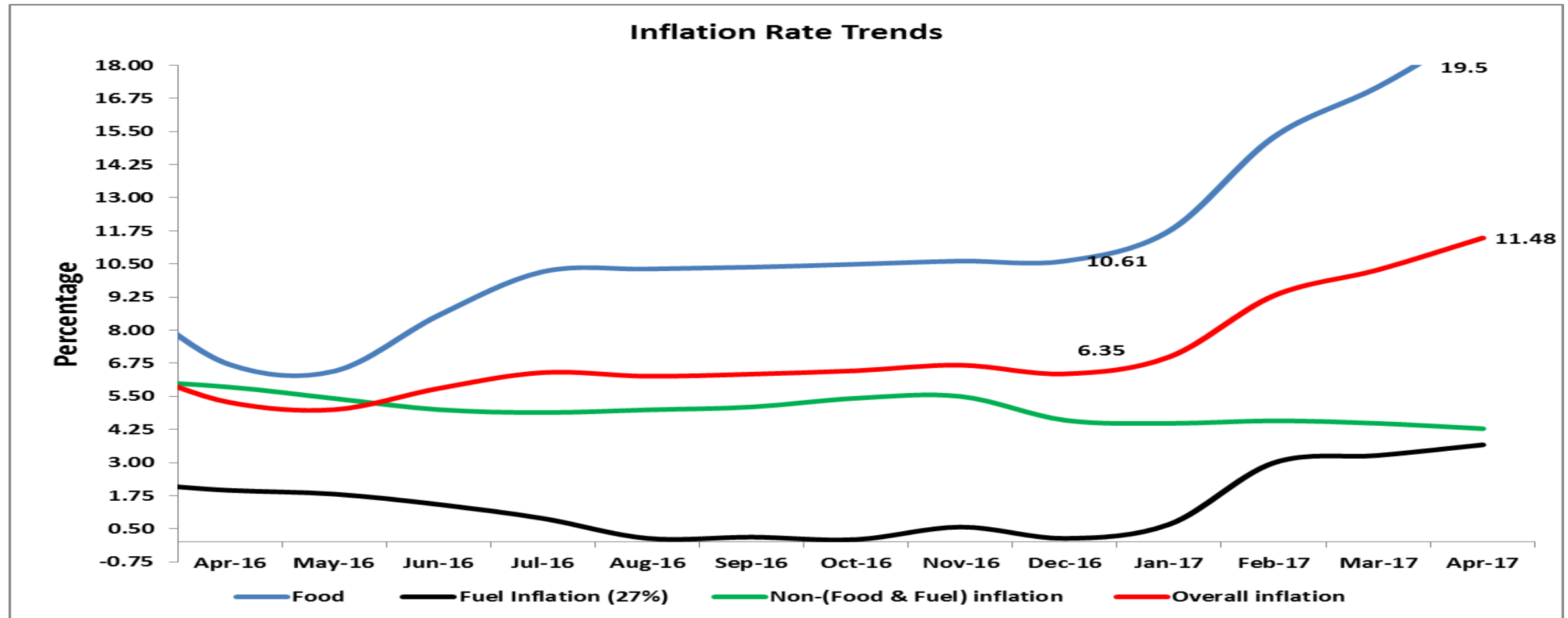
Macro Economic Update

Kenya's overall GDP growth rate remains relatively high.

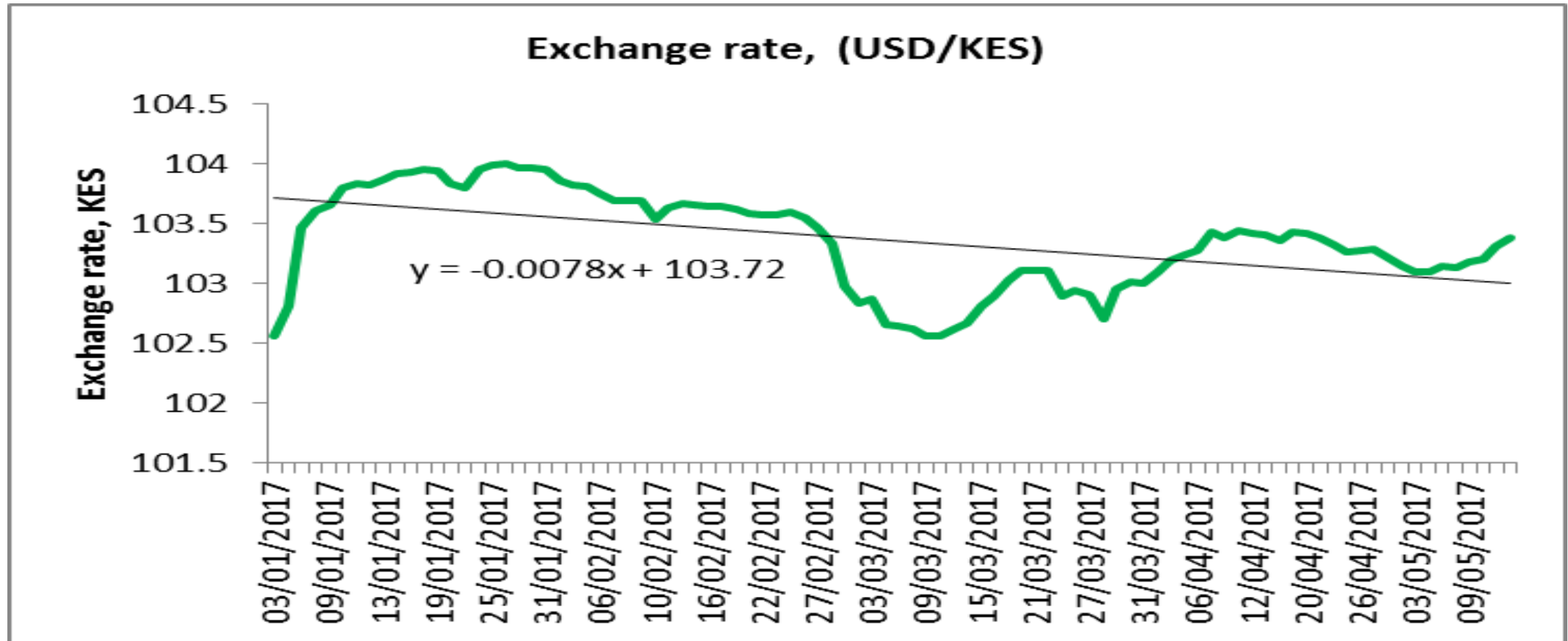
However, a few headwinds face economic prospects in 2017, namely; low private sector credit uptake, drought experienced in Q1 and the August 2017 general elections.



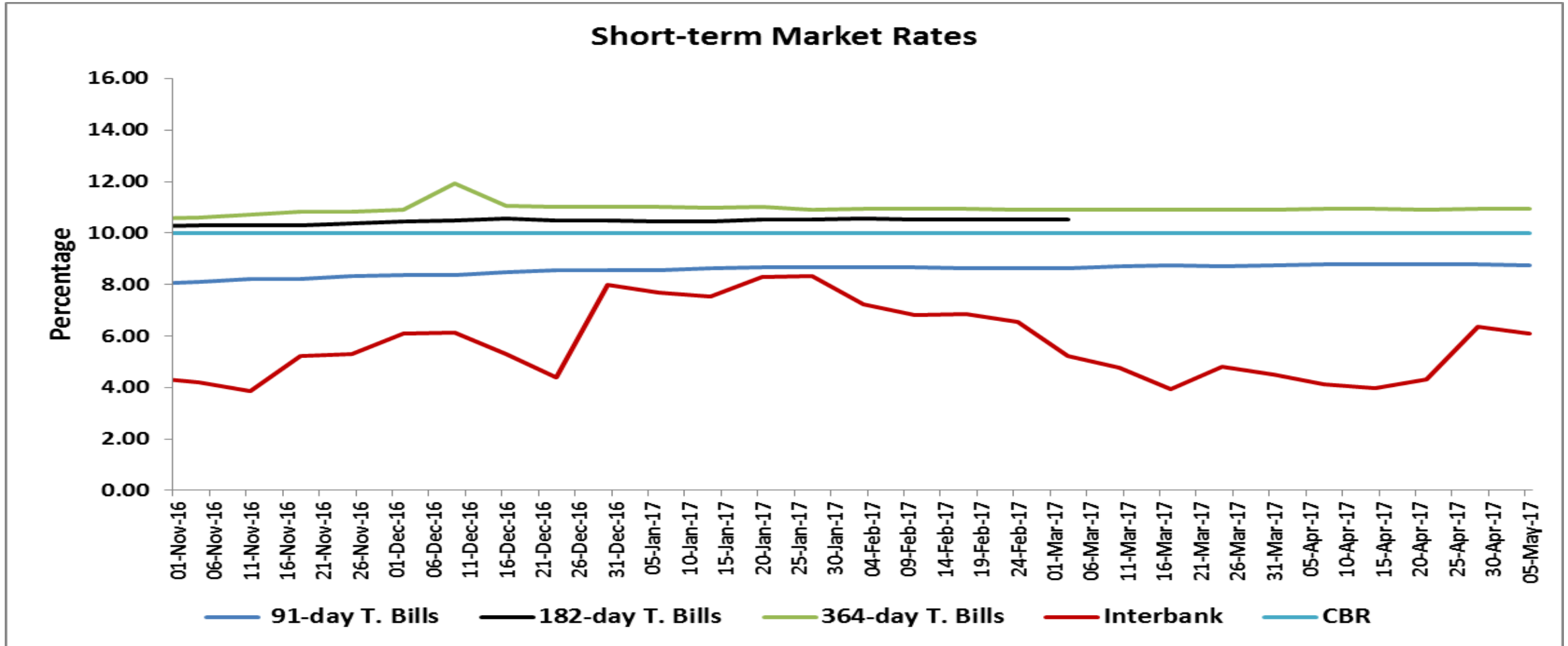
Food inflation has driven up overall inflation rate in Q1. Looking ahead, this still poses a challenge in the months of May and June due to pressure from sugar and maize prices.



The KShs. has remained relatively stable in Q1. The depreciation experienced earlier in the year was contained within the month of January only.



Interest rates have remained fairly unchanged in Q1. CBR has been held at 10%, while the average inter-bank rate has remained low due to high liquidity within banks.



A Successful Universal Banking Model

Co-operatives Banking

Large Saccos
Housing Saccos
Agri Business
PSV/ Transport Saccos
Investment Saccos

Retail Banking

Micro Credit
Small Medium Enterprises (SME)
Personal Banking (mass & affluent)
Diaspora Banking
Banking the youth (Yea & Jumbo Junior)
Asset Finance

Corporate & Institutional Banking

Corporate banking
Government Banking
Institutional Banking
Structured, Trade & Commodity Finance
NGO's
Treasury

Subsidiaries

Co-operative Bank of South Sudan
Co-op Consultancy & Insurance Agency
Co-op-Trust Investment services Ltd
Kingdom Securities Ltd

Associates

We own 26% of CIC Insurance
CIC Owns 31% of CIC Africa
CIC has a Presence in Uganda, Malawi & South Sudan

Foundation

Co-op Foundation; Supporting Bright, Needy students in all counties

Regional Expansion



Our channels

149 Branches

Mcoop cash mobile banking
(All telco, all products)

Co-op Kwa Jirani-Over 8000 agents

Over 580 ATMs, leading debit card issuer

CoopNet- Internet Banking (Corporate & Retail)

24 Hour Contact Centre

Self service Kiosks in all our branches

Dedicated Diaspora Banking Department

Over 555 FOSAs

Subsidiaries offering advisory and investment
services

Social Media Banking

Our customers

Over 6.39 Million growing direct account holders

Over 3.21 Million Mcoop Cash Customers

Over 72,670 Internet banking Customers

Over 1,003,746 Saccolink Customers

Over 14,666 Diaspora Banking Customers

Over 1 million Facebook followers

Over 160,000 Twitter followers

Instagram followers, You Tube subscribers

Telegram self service customers

Our bold transformation journey that begun in 2014 as a result of growth and efficiency review is hinged on the following Key Pillars;

1. Branch Transformation and Non-Funded income (NFI) growth
2. Sales Force Effectiveness (SFE)
3. Enhanced Credit Management
4. Improved Operational Efficiency
5. Staff Productivity
6. Cost Management

Key Achievements from Dec 2014;

- ✓ 88% of transactions are on alternative channels
- ✓ 8 minutes queue time from 52 Minutes
- ✓ 3% growth in FX income to non funded income from 13% to 17%
- ✓ Single accounts at 50.39% from over 70%
- ✓ 7% improvement in Cost to income (With Provisions) from 63% to 55%
- ✓ Reduction of NPL ratio (0.1%) from 4.3% to 4.2% despite a big loan book growth of 37%
- ✓ 4% improvement in total capital to total risk weighted assets from 20.5% to 24.8%

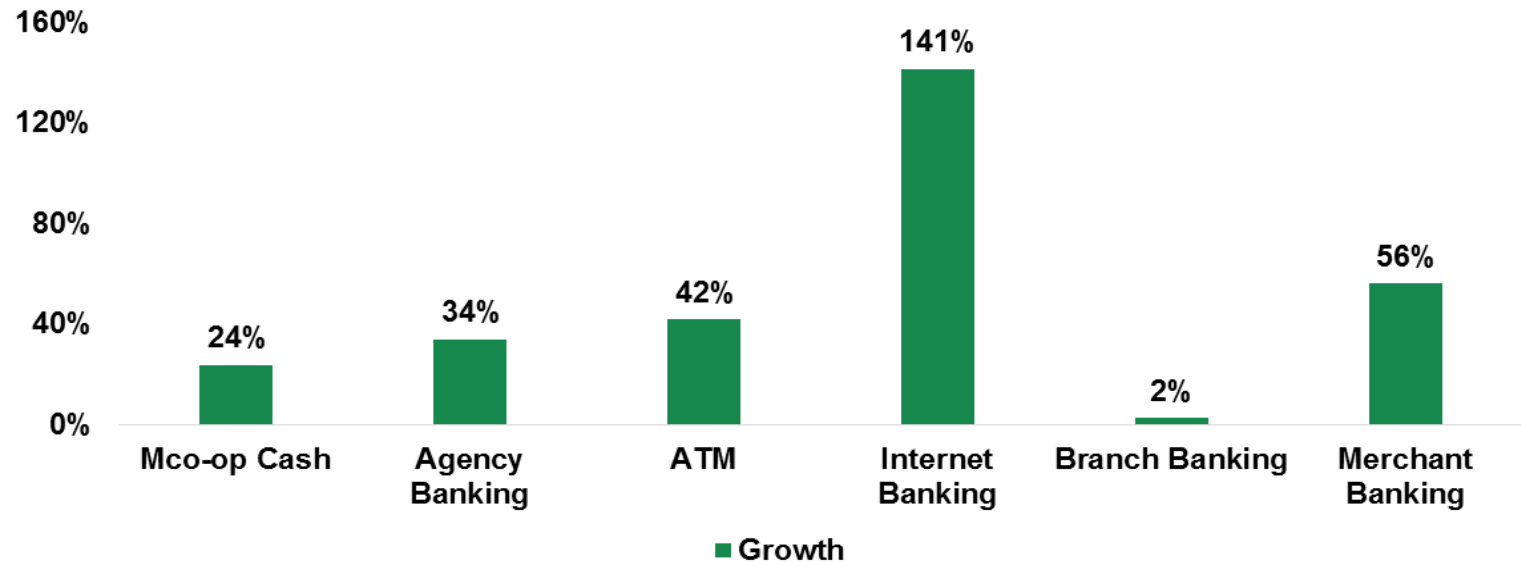
Objectives

- ✓ Deposits growth
- ✓ Loan book growth
- ✓ Reduce PAR
- ✓ Grow product holding to 4 Per customer.

Initiatives

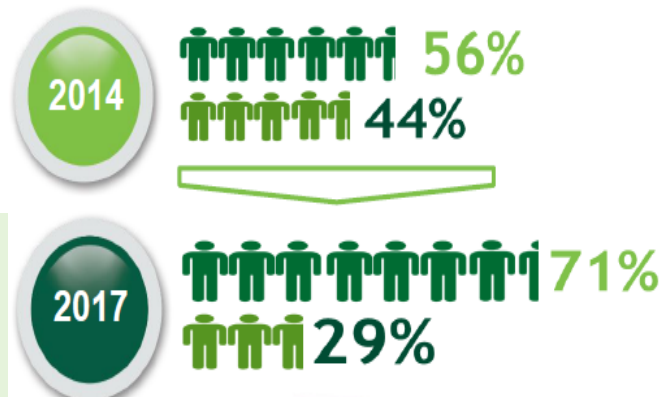
- ✓ SFE
- ✓ Free up time
- ✓ Structure available time
- ✓ Processes improvement
- ✓ Coaching

Channel Transaction Growth (Q12016-Q12017)



8 min
queue time

Front to Back office staff



Single accounts

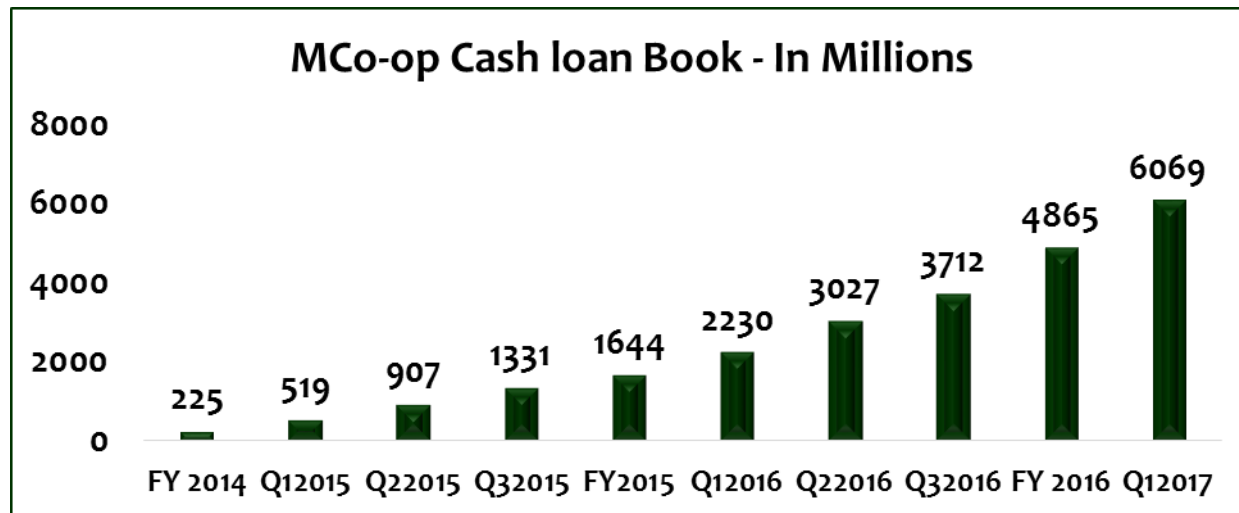
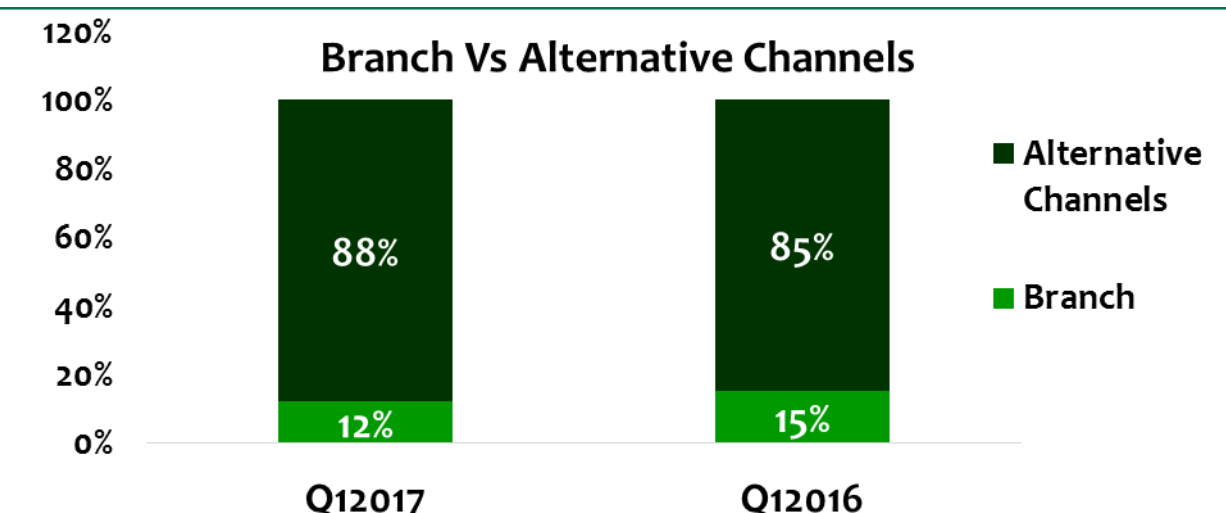
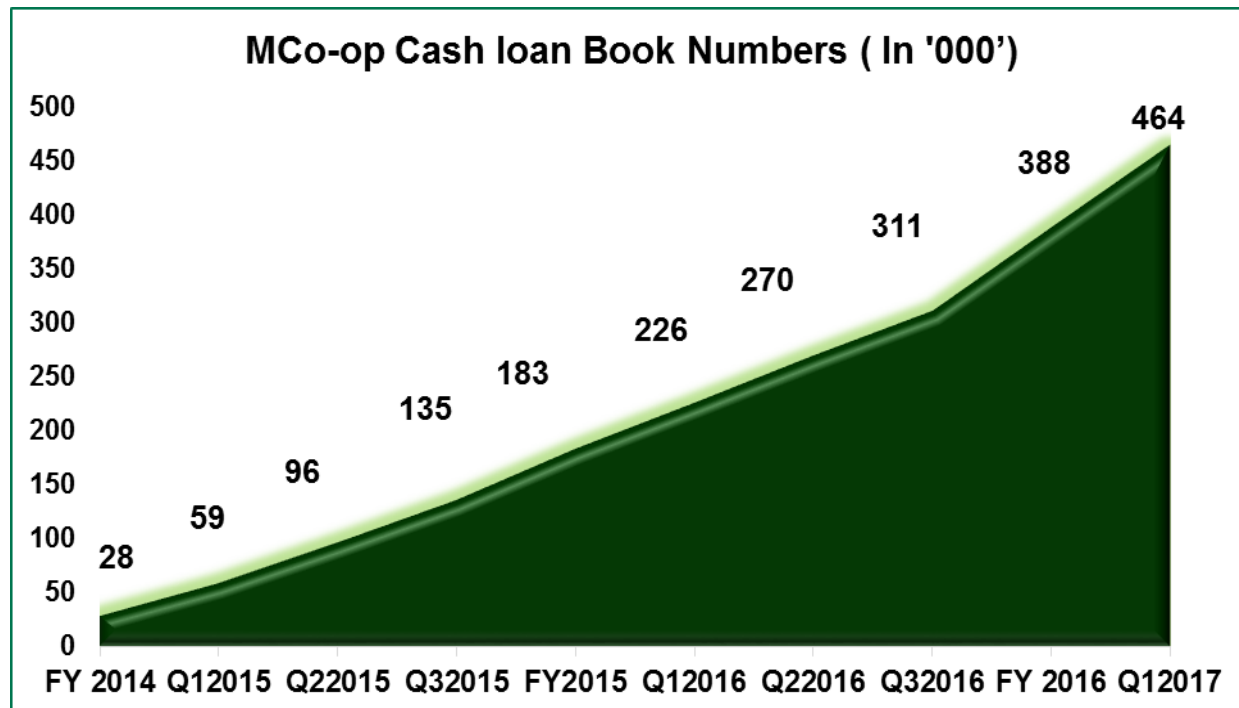
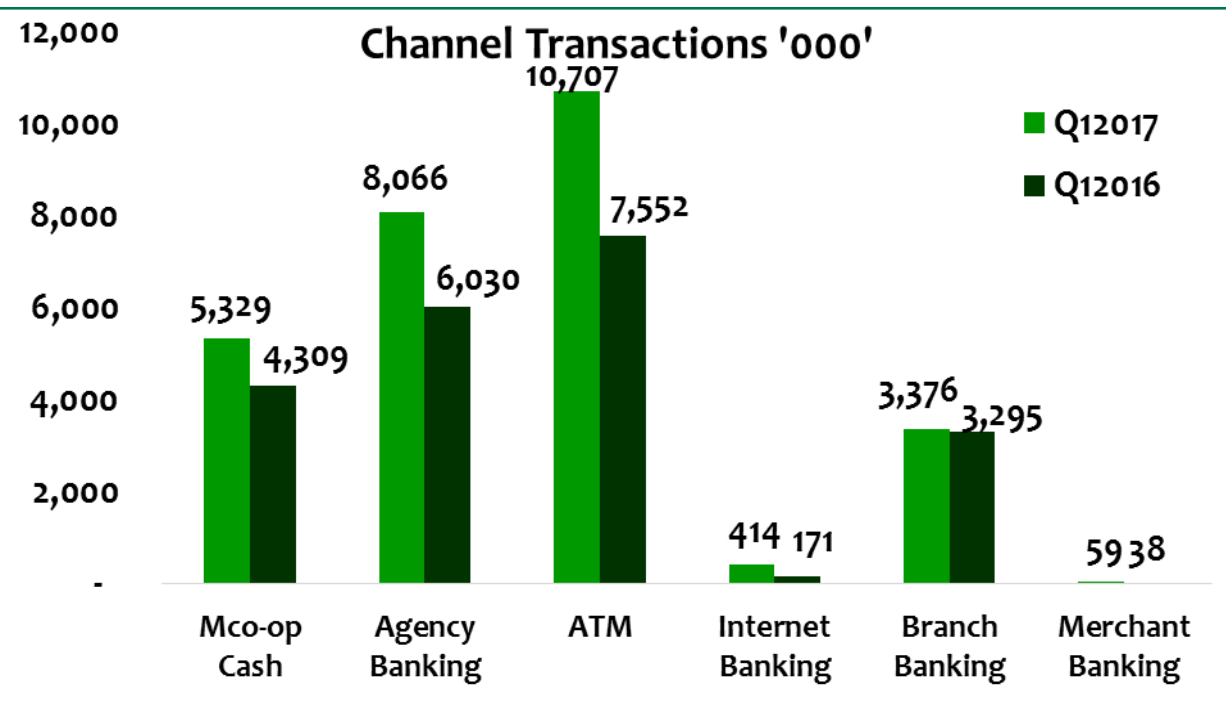
1Q2017 - 50.39%
FY2016 - 51.13%

Average performance of 20 branches in wave 1 of BT.2.0.

- ✓ 3% increase in deposits
- ✓ 5% asset book growth
- ✓ 40% PAR reduction
- ✓ 3% drop in teller transactions
- ✓ 39% increase in product holding per customer

Branch Transformation and Channel Migration

Deepening Financial Inclusion with alternative channels



Objectives

- ✓ Comprehensively updated account plans
- ✓ Effective & realistic pipeline deals
- ✓ New client acquisition & Relationship Manager loading (35-45)
- ✓ Growth of NFI & Deposits
- ✓ Fact based Performance dialogue

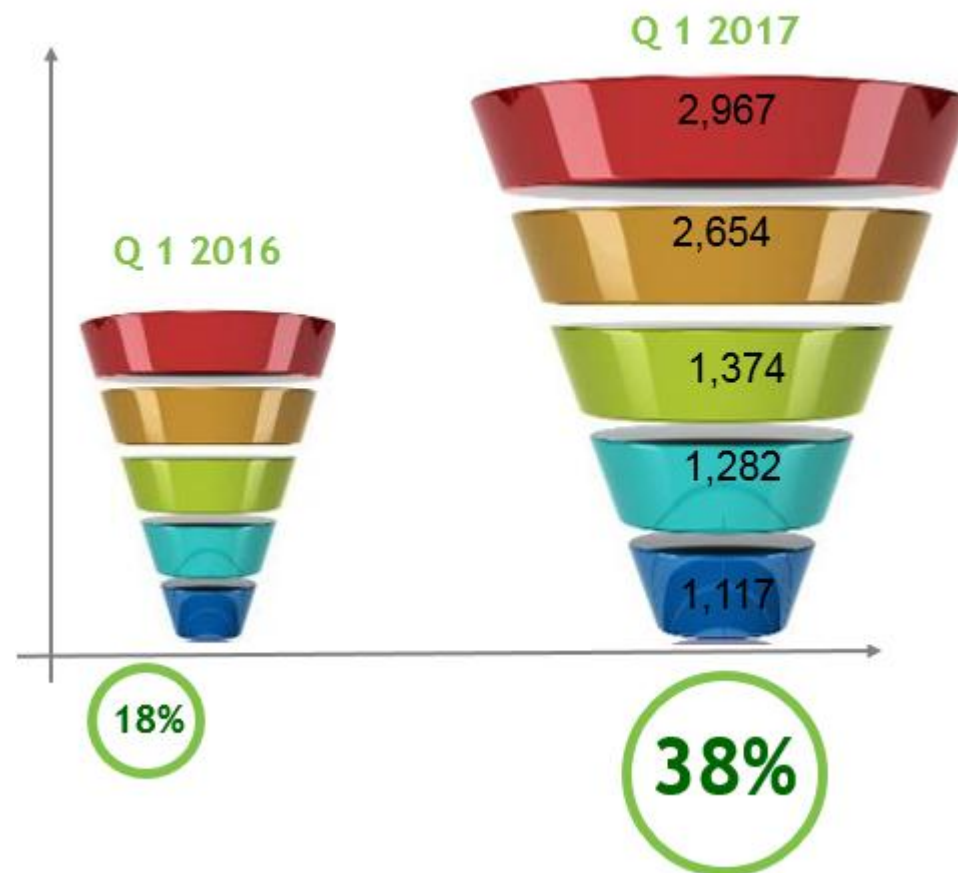
Initiatives

- ✓ Enhanced Client Service meetings
- ✓ Timely Problem solving sessions - value
- ✓ Product bundling to drive volumes
- ✓ Strategic partnership - Supply Chain Financing (SCF) / Fintech / Business to Business (B2B)

Milestones

- ✓ Enhanced client prioritization and account planning
- ✓ Enhanced deal tracking
- ✓ Enhanced utilization of approved credit lines

Deals Conversion rate



Objectives

- ✓ Timely business led solutions delivery
- ✓ Monitor and track projects benefits

Initiatives

- ✓ Robust scoping of deliverables
- ✓ Free up time focus
- ✓ Customer led solutioning

Milestones

- ✓ Loan origination system for Micro credit loans- End to end processing of micro credit loans. Under pilot in 4 branches
- ✓ Instant card issuance- has been rolled out in 134 branches with 105,369 cards already issued
- ✓ Covenant tracker- this system will ensure agreements linked to loan approvals are tracked online and hence proactive credit management

Key Ongoing Projects

- ✓ In-house cheque scanning
- ✓ ERP Procure to Pay and Finance
- ✓ B2B Integration - Internet Banking channel
- ✓ Kenya Interbank Transaction Switch-KITS
- ✓ TI Upgrade
- ✓ Opics Upgrade
- ✓ Wealth Management Project
- ✓ CRM upgrade project

Objectives

- ✓ Reduce PAR by 50%
- ✓ Ensure quality loan book
- ✓ Improve credit process TAT
- ✓ Ensure timely Collection of loan

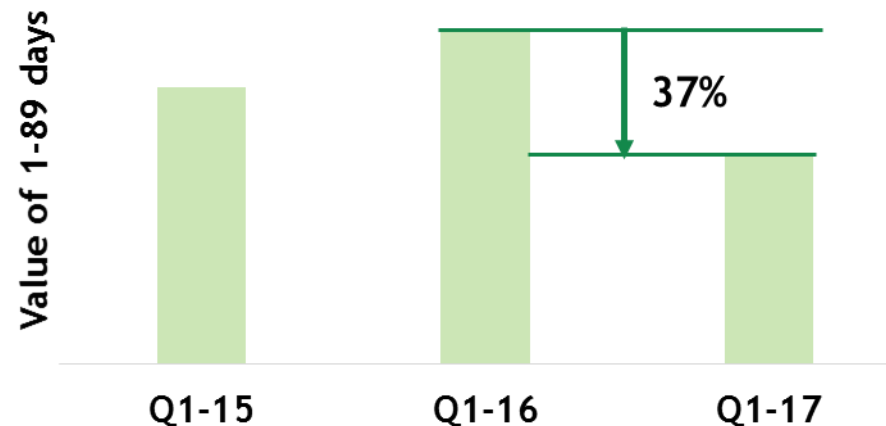
Initiatives

- ✓ Proactive NPL management
- ✓ Coaching and feedback to Frontline
- ✓ Credit Quality assurance
- ✓ Timely relegation and Mgmt. of files

Milestones

- ✓ Improvement of 1-89 days book by 37% from Q12016 to Q12017
- ✓ Enhanced relegation of files to Credit Management for proactive management
- ✓ Sustained collections of over Kshs. 360 Million

Performance of 1-89 days Book





Objective

- ✓ To be the dominant bank in Kenya in MSME Segment

Initiatives

Started in Oct 2016 and expected to end in June 2017, the following are the key initiatives

- ✓ Credit Scoring
- ✓ SCF- Supply Chain Financing
- ✓ CVP- Customer Value Proposition Model
- ✓ Segmentation
- ✓ Credit Process Review
- ✓ Product Offering Review
- ✓ Non Financial Service (NFS) offering

Objectives

- ✓ Drive enhanced staff productivity across the whole bank for sustained profitability; get the best out of our people.

Initiatives

Ensuring that we;

- ✓ Embed a high performance culture
- ✓ Build high impact leadership and organizational culture to impact business
- ✓ Achieve optimal resourcing and mobility to ensure seamless execution of strategy
- ✓ Implement customer centric organizational structures that support strategy execution
- ✓ Achieve coaching and learning excellence to build our strategic capabilities
- ✓ Deploy talent management strategies and implement appropriate career development interventions

Milestones

- ✓ KPI-focus Performance Management system & rigour
- ✓ Over 300 leaders coaching for high performance
- ✓ High Performing Teams (HPT) Culture & Manager Enablement
- ✓ Staff optimization- 100% Data-driven staffing, redeployment and intra-branch mobility

Cost Management and Efficiency

	Q12017	Q12016	FY 2016	FY2015	FY - 2014
Cost to Income Ratio	47.9%	45.0%	52.1%	53.2%	59%

Key strategies;

- ✓ Ongoing implementation of an SAP Enterprise Resource Planning (ERP) solution
- ✓ Automation of the various key processes for costs optimization.
- ✓ Enhanced Expenditure Management Committee (EMC)
- ✓ Market price comparison every 3 to 6 months
- ✓ Prequalification of suppliers every 6 months
- ✓ Renegotiated contracts with vendors especially systems

Sustainable Financing from our Development Partners

LONG TERM FUNDING (Kshs. Million)

DEVELOPMENT PARTNER	1Q2017	1Q2016	
IFAD	30.00	30.00	To finance the Eastern Province Horticultural and Traditional Food crops project
EUROPEAN INVESTMENT BANK	2,171.08	5,325.41	To fund SMEs
AFD	4,022.20	3,631.62	To fund energy efficient and renewable energy projects
INTERNATIONAL FINANCE CORPORATION	14,674.10	4,437.69	To fund SME's and agribusiness, construction and mortgage segments
D.E.G -(K.F.W)	4,304.40	5,339.10	To finance SME and Corporate customers
TOTAL	<u>25,201.79</u>	<u>18,763.82</u>	   

The Award winning Brand!

Catalyst
Awards
2016



Recognising Catalytic Finance that Impacts Industry, Economy & Society

2ND POSITION:
Overall winner

2ND POSITION :
Best Practice in Sustainable Finance

1ST POSITION:
*Commercial Client Case Study
(Strathmore University Solar Energy Project)*

1ST POSITION:
MSME Case Study(Varomatech Enterprises)

The Award winning Brand!



2016 World Finance Awards

◆ Best Commercial Bank, Kenya

Banker Africa- East Africa Awards 2016

◆ The Best Socially Responsible Bank in East Africa

Banker Africa- East Africa Awards 2016

◆ The Best Retail Bank in Kenya



Utumishi Bora Awards 2016

Dr. Gideon Muriuki- was awarded the Grand Award,
Mtumishi Bora 2016

The awards held by Kenya Christian Professional Forum promotes effective implementation of chapter 6(Leadership & Integrity) of the Constitution of Kenya

Championing Social Economic Empowerment



**CONSULTANCY &
INSURANCE AGENCY LTD**

- ✓ Capacity building for Cooperative Societies.
- ✓ Over 2,000 consultancy and advisory mandates carried out from inception
- ✓ 555 FOSA's to serve Sacco customers.
- ✓ FOSAs have further entrenched our financial deepening model
- ✓ 13 dedicated consultants

Providing Financial
Advisory Services and
Capacity Building for
Co-operative
Societies in Kenya



- ✓ Our social investment program vehicle
- ✓ Providing Education Scholarships for bright but needy students
- ✓ The foundation is fully funded by the bank
- ✓ Since inception of program in 2007 to date 5,089 students have been sponsored
- ✓ The bank awards scholarships per county and the rest are determined by the bank's regional Sacco delegates.



- ✓ Financing the SME and MCU sector
- ✓ Sustainable financing towards Vision 2030 and MDGs
- ✓ Staff CSR Involvement
- ✓ Corporate Social Responsibility: First Lady's Beyond Zero Campaign, Kenyatta National Hospital- Children Cancer Ward, Kenya Defense Forces games sponsorship, Kenya Diabetes Management and Information Centre, Kenya Psychological Association, National Police Service Athletics Bible Translation and Literacy Marathon, Wildlife Direct - Hands off our elephants





SOUTH SUDAN

- ✓ Currently operating 4 branches in Juba and 5 Non-oil collection centers. Owns 31% of CIC Africa Ltd- South Sudan
- ✓ The unique joint venture offers great opportunity for long-term sustainability of the business
- ✓ The subsidiary made loss of Kshs. 34.7 Million in Q12017. This performance is due to the hyperinflation occasioned by currency devaluation however proactive strategies are in place to continue with offering financial inclusion while considering the most optimal risk uptake

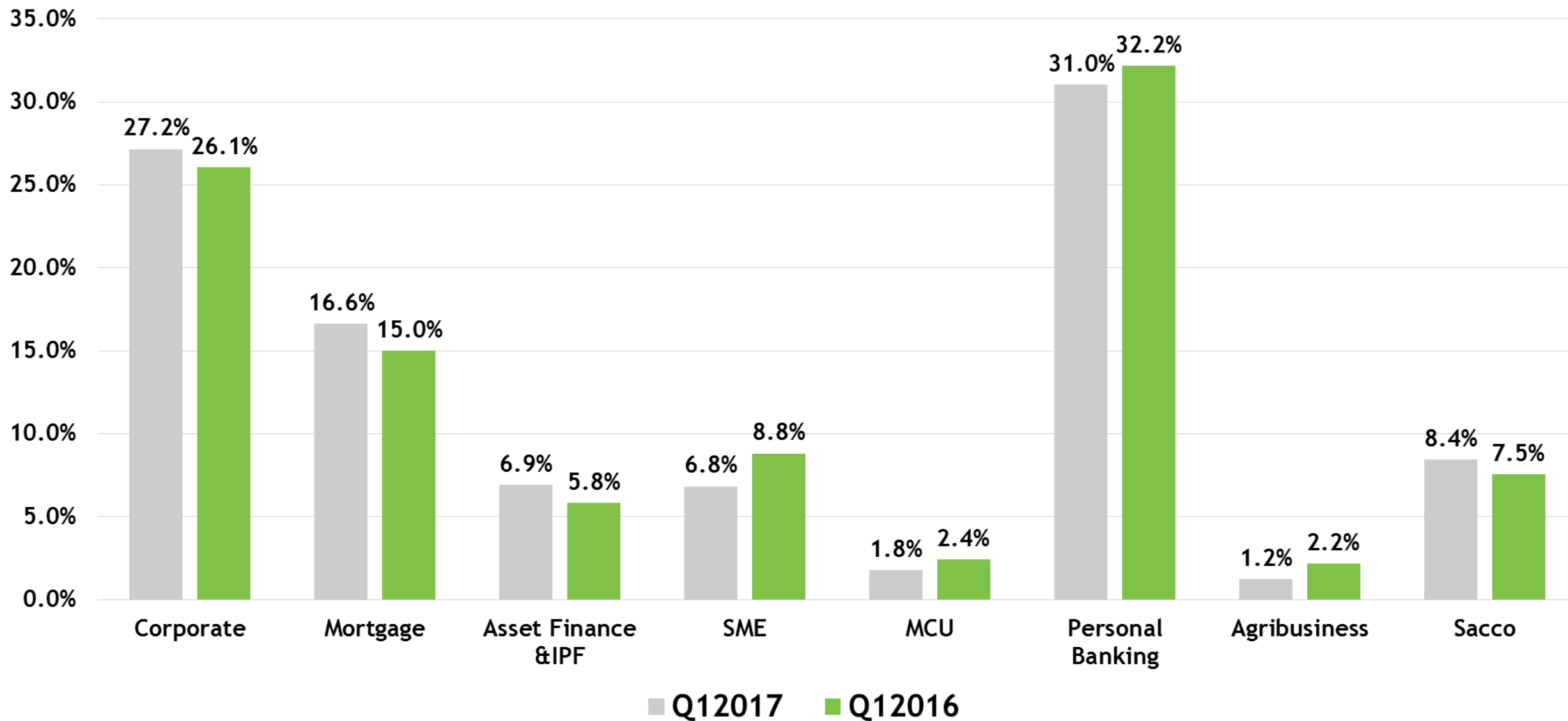
Key Financial Highlights



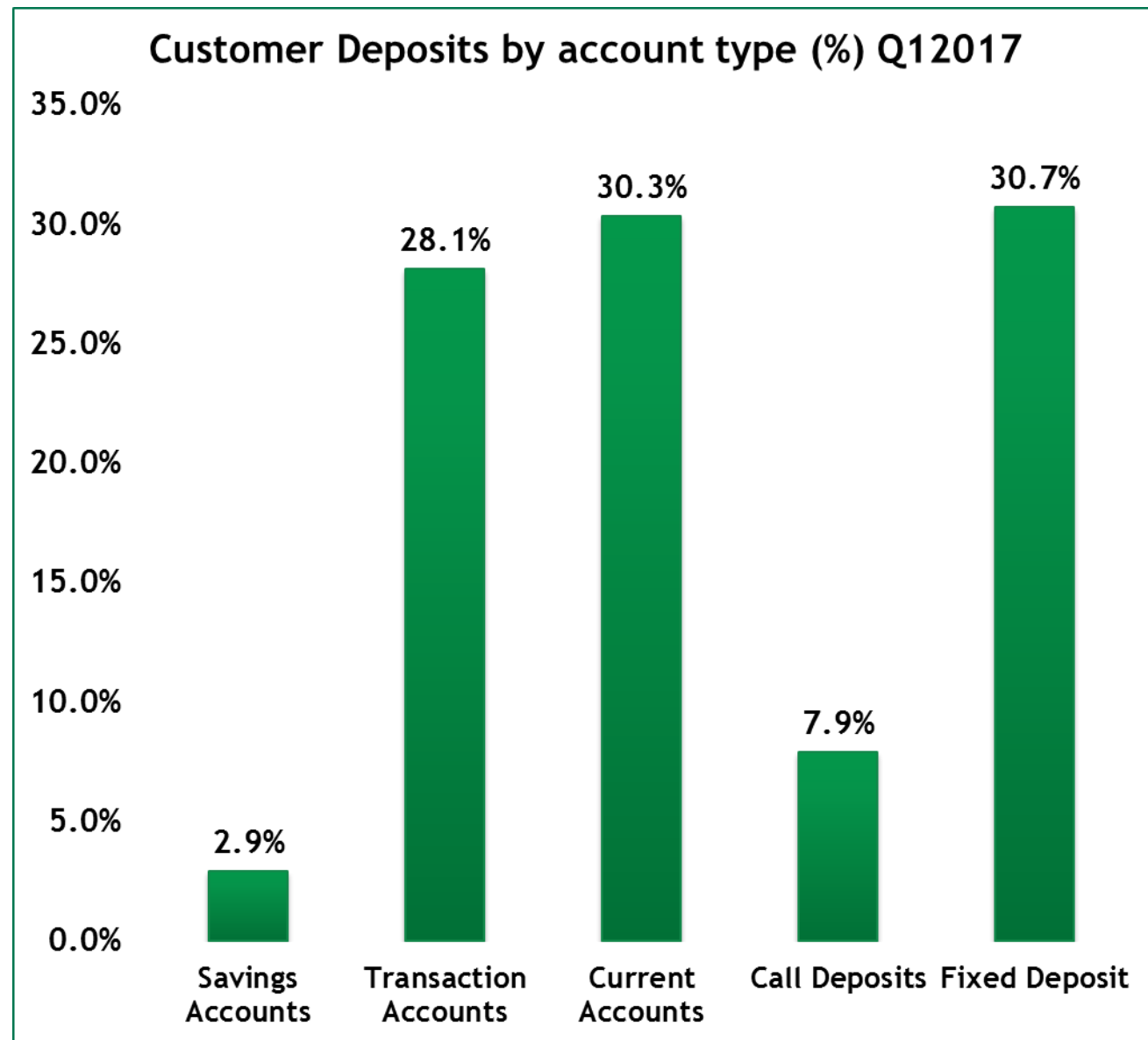
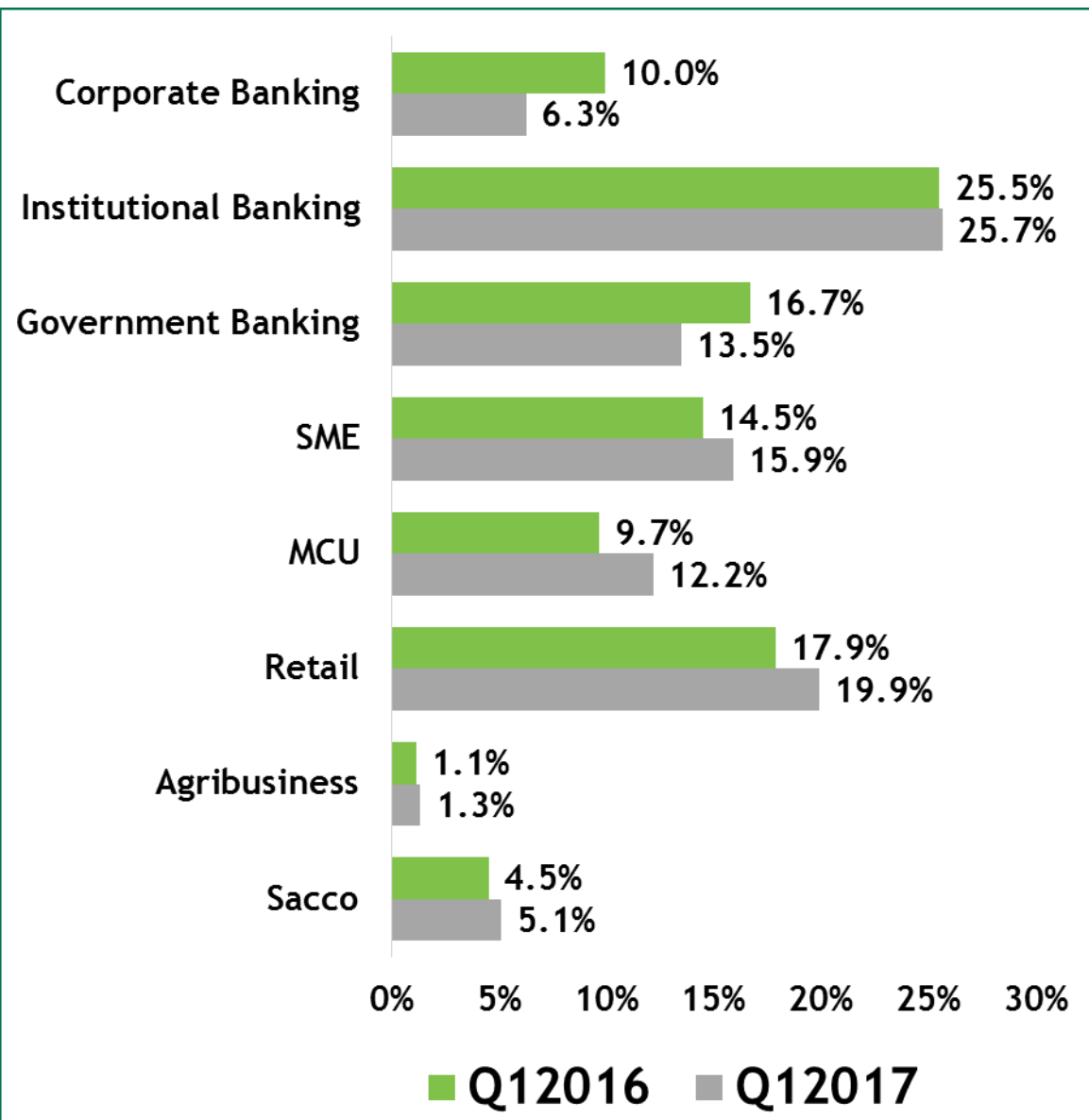
A Soaring Bank

Kshs. Billions	Q12017	Q12016	% Change (YoY)		FY2016
Total Assets	378.5	350.7	7.9%	↑	351.9
Loan book (Net)	245.9	213.7	15.0%	↑	236.9
Government Securities	60.5	69.1	-12.3%	↓	57.8
Total Deposits	281.6	267.4	5.3%	↑	263.6
Borrowed Funds	24.3	19.8	22.5%	↑	19.8
Shareholders Funds	63.8	55.3	15.4%	↑	61.3
No. of account holders (Millions)	6.39	5.83	9.6%	↑	6.22

A Soaring Bank - Loan Distribution

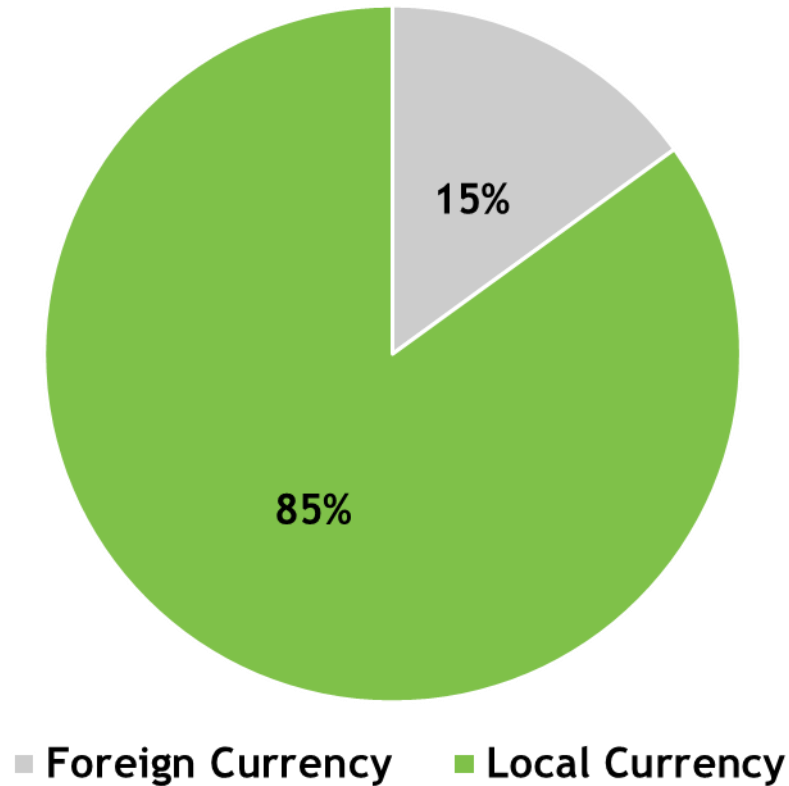


A Well-diversified Liability Portfolio

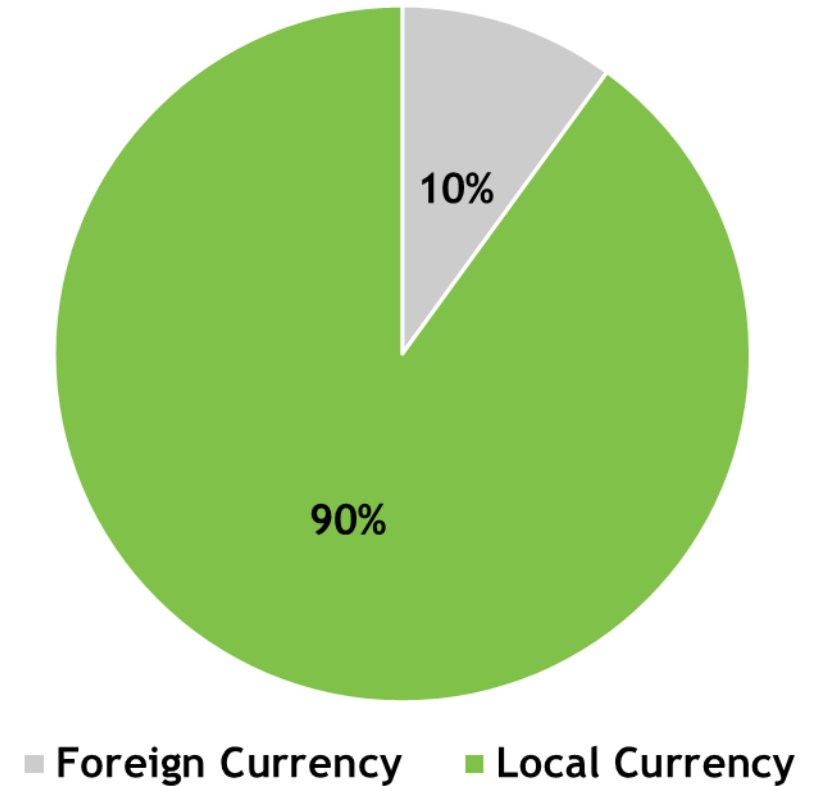


Lending & Funding balances by Currency

**Loan Book (Local Vs Foreign Currency)
-Q12017**



**Funding (Local Vs Foreign Currency)-
Q12017**



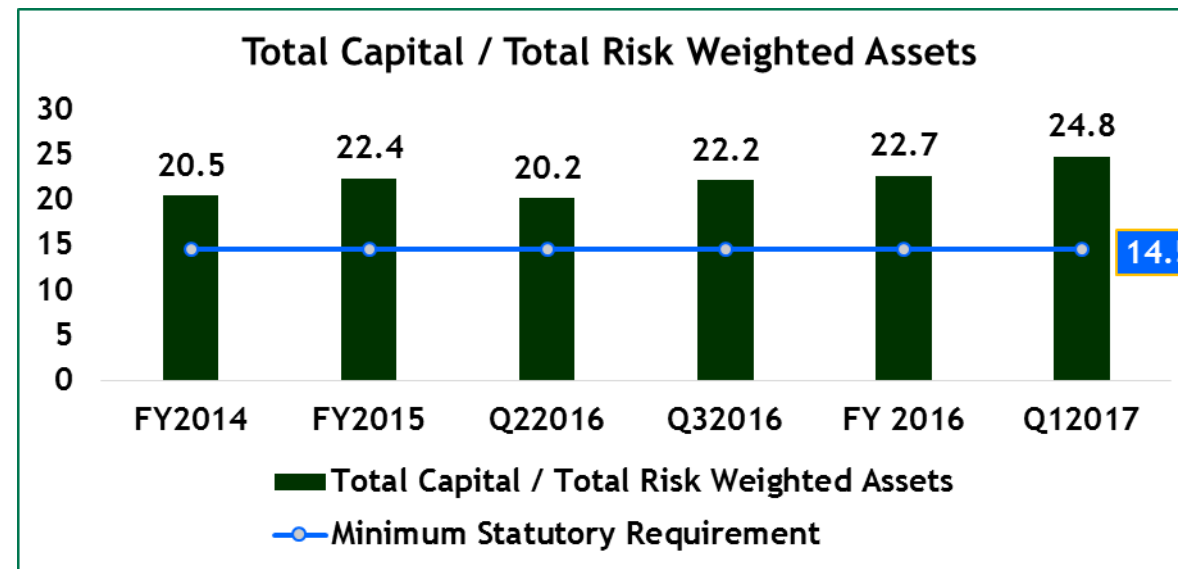
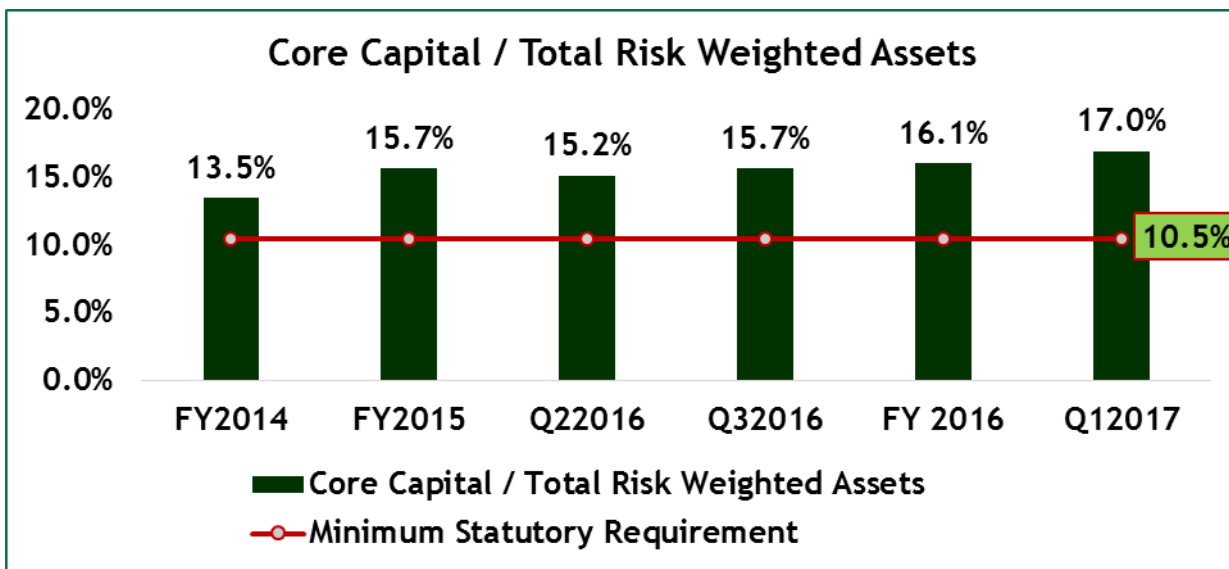
✓ Optimally balanced Kenya Shilling Loan book and Funding

Portfolio Trends Ksh. Millions

	Q12017	%	Q12016	%	FY2016	%
Normal	208,056	82.2%	192,738	88.2%	196,708	80.5%
Watch	33,886	13.4%	17,279	7.9%	36,475	14.9%
Substandard	7,621	3.0%	4,197	1.9%	5,857	2.4%
Doubtful	2,974	1.2%	3,738	1.7%	4,741	1.9%
Loss	640	0.3%	646	0.3%	675	0.3%
TOTAL	253,177	100.0%	218,598	100.0%	244,456	100.0%

Capital adequacy

	Q12017	Q12016	FY2016
Core Capital / Total Deposits (10.5%)	19.8%	17.5%	19.7%
Core Capital / Total Risk weighted Assets (10.5%)	17.0%	15.4%	16.1%
Total Capital / Total Risk Weighted Asset (14.5%)	24.8%	21.7%	22.7%
Coverage (Loan loss prov+int in sus /Gross NPL) -IFRS	34.3%	42.5%	38.1%
Coverage(Loss loan+int in sus+gen prov)/Gross NPL- CBK	67.5%	76.6%	65.4%
Liquidity (20%)	37.6%	38.5%	33.2%
NPL / Total Loans	4.2%	3.4%	4.3%
Loans to Deposits	87.3%	79.9%	89.9%
Loans to Deposits & Borrowed Fund	80.4%	74.4%	83.6%



Profitability

Kshs. Billions (except for EPS)	Q12017	Q12016	% Change (Y/Y)		FY2016
Interest Income	9.5	10.7	-10.8%	↓	42.3
Interest Expense	2.8	3.9	-26.9%	↓	12.8
Net Interest Income	6.7	6.8	-1.6%	↓	29.5
Fees & Commissions	2.6	2.4	5.9%	↑	9.8
Forex Income	0.6	0.5	12.5%	↑	1.8
Other Income	0.3	0.5	-52.3%	↓	1.2
Total Operating Income	10.1	10.3	-1.8%	↓	42.3
Loan Loss Provision	0.8	0.6	20.0%	↑	2.6
Staff Costs	2.3	2.2	7.0%	↑	9.4
Other Operating Expenses	2.5	2.4	2.6%	↑	12.6
Profit Before Tax and Exceptional Items	4.5	5.0	-10.4%	↓	17.6
Exceptional Items	-	-	-	-	0.004
Share of profit of associate	0.0	-0.1	114.4%	↑	0.1
Profit Before Tax	4.5	4.9	-8.7%	↓	17.7
Tax	1.3	1.5	-14.8%	↓	5.0
Profit After Tax	3.2	3.4	-6.0%	↓	12.7
Basic EPS	0.66	0.70	-6.0%	↓	2.6

COMPANY	PROFIT BEFORE TAX 1Q2017	PROFIT BEFORE TAX 1Q2016	%
	KShs'000	KShs'000	KShs'000
The Co-operative Bank of Kenya Limited	4,398,793	4,902,424	-10%
Co-op Consultancy & Ins Agency Limited	137,119	92,880	48%
Co-op trust Investments Limited	4,766	17,953	-73%
Kingdom Securities Limited	-7,450	-4,317	-73%
Co-Operative Bank of South Sudan	-34,689	11,513	-401%
Total PBT before eliminations	4,498,538	5,020,452	-10%
Add: Share of profit from associates	11,552	-80,294	114%
Less: Dividends received from CIC	-	-	-
Group profit before tax	4,510,091	4,940,159	-9%
Income tax expense	1,282,237	1,505,146	-15%
Group profit after tax	3,227,854	3,435,012	-6%

Key Profit & Loss Ratios

	Q12017	Q12016	FY2016
Cost to Income(Excluding Provisions)	47.9%	45.0%	52.1%
Cost to Income (Including Provisions)	55.3%	51.0%	58.3%
Cost of funds	3.8%	5.7%	4.5%
Staff Cost to Total Income	23.1%	21.3%	22.2%
Debt to Equity	38.0%	35.8%	32.3%
Average Return on Equity	21.7%	26.8%	22.7%
Average Return on assets	3.5%	4.2%	3.7%
FX to Non Funded income	16.5%	14.4%	14.1%
Non - Funded to Total Income	33.6%	33.8%	30.2%
Net Interest Margin(loans)	9.5%	11.0%	10.5%
Net Interest Margin(Earning Assets)	8.5%	9.9%	9.8%
Effective Corporate Tax Rate	28.4%	30.5%	31.6%

- ✓ Cost to Income : With the ongoing transformation strategy the ratio is expected to continue improving
- ✓ NIM : Stable and in line with the bank's projections

2017 Financial Outlook

	<u>Actual</u> <u>Q1 2017</u>	<u>Projections</u> <u>FY 2017</u>
Profit Before Tax Growth	-8.7%	17.7B
Loans & Advances Growth	15.0%	12%
Deposits Growth	5.3%	12%
Cost to Income Ratio	47.9%	50%
Non Funded to Total Income	33.6%	34%
Return On Average Equity (ROAE)	21.7%	20%
Return On Average Assets (ROAA)	3.5%	3.5%
Non Performing Loans (NPL)	4.2%	4.5%
Cost of funds	3.8%	4.0%
Net Interest Margin (NIM)	9.5%	9.5%
Cost of risk	1.3%	1.3%

The massive investments in the economy in terms of infrastructure, ICT, Energy Generation and Human Capital has seen the economy attract increased inflows of Foreign Direct Investments.

Co-op Bank is well positioned to ride on the expected upswing of the economy after the August elections leveraging on our strong balance sheet, a cost effective operating structure and a highly motivated team.

Thank You



Talk to Us



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Other
Media

